

INTERNAL DISCUSSION DRAFT

Proposed SDB Delivery Policy

A simple, consistent delivery structure for metro, regional, bulky and pallet orders

Purpose	Team review and agreement before catalogue publication
Status	Proposed - not yet customer-facing
Pricing basis	All order values and delivery charges exclude GST

Recommended direction Adopt a published rate card that staff can apply automatically. Separate customer approval should be required only for remote or genuinely non-standard delivery services.

1. Proposed customer delivery rates

The following structure is proposed for inclusion in the SDB catalogue and customer trading information.

Delivery type	Order value (ex GST)	Charge (ex GST)
Standard metro delivery	Under \$700	\$35 per consignment
Standard metro delivery	\$700 or more	FREE
Standard delivery - major regional centre	Any value	\$75 per consignment
Standard delivery - other regional area	Any value	\$120 per consignment
Bulky non-pallet delivery	Any value	\$30 per bulky item
Pallet delivery - metro	Any value	\$150 per pallet
Pallet delivery - major regional centre	Any value	\$250 per pallet
Pallet delivery - other regional area	Any value	\$350 per pallet
Remote location	Any value	Carrier freight rate applies

Key promise Free standard metro delivery applies only to eligible standard products on orders of \$700 or more excluding GST. Selected bulky products attract a \$30 per-item delivery contribution. Pallet rates apply instead when palletisation is required.

2. Policy principles

- Customers should be able to understand the applicable delivery charge before placing an order.
- Staff should apply the published delivery charge without calling the customer for routine approval.
- The same classification and rate should be applied consistently to customers in the same circumstances.

- Published delivery charges should be predictable and applied without individual negotiation on routine orders.
- Contracted customer arrangements, including separately agreed national-account terms, take precedence when confirmed in writing.

3. Delivery classifications

Classification	Working definition
Standard delivery	Products packed and transported as ordinary cartons within SDB's approved carrier size, weight and quantity limits.
Bulky non-pallet delivery	An order containing one or two designated bulky products that cannot travel as standard cartons but can be safely transported without a pallet.
Pallet delivery	An order that must be secured and transported on a pallet due to its size, weight, quantity or handling requirements.
Remote delivery	A postcode outside SDB's published metro, major regional and other regional delivery zones.

4. Standard exclusions and additional charges

The following are excluded from free standard metro delivery and may attract the applicable published rate or an additional carrier charge:

- Bulky, oversized or palletised products
- Dangerous goods or products requiring specialised transport
- Remote delivery locations
- Tail-lift, residential or limited-access delivery
- Redelivery, address correction, express or timed delivery
- Split delivery requested by the customer

5. Bulky non-pallet orders - mandatory rule

\$30 PER BULKY ITEM Every designated bulky product dispatched without a pallet attracts a \$30 delivery contribution excluding GST, regardless of the total order value. This charge also applies when the metro standard portion of the order qualifies for free delivery.

Mixed orders

Where an order contains both standard and bulky products, apply the standard-delivery rule to the standard portion and add \$30 for each designated bulky item dispatched separately.

Order example	Delivery charge treatment
\$800 metro order - standard products only	Free standard metro delivery
\$800 metro order + 1 bulky non-pallet item	\$30 bulky-item contribution
\$800 metro order + 2 bulky non-pallet items	\$60 bulky-item contribution

Order example	Delivery charge treatment
Regional standard order + 1 separately dispatched bulky item	Regional standard charge + \$30
Order consolidated and dispatched on a pallet	Applicable pallet rate only

No double-charging rule

IMPORTANT Do not apply both a bulky-item contribution and a pallet charge to the same product. If the order is palletised, remove the bulky-item contribution and apply only the applicable pallet rate. Three or more bulky items should be reviewed by the warehouse to determine whether pallet delivery is safer or more economical.

6. Proposed staff process

1. Confirm the customer's saved delivery postcode and assigned zone: Metro, Major Regional, Other Regional or Remote.
2. Confirm the order classification: Standard, Bulky Non-Pallet or Pallet.
3. Apply the relevant delivery code and published charge to the sales order.
4. For bulky non-pallet orders, apply \$30 for each designated bulky item. If palletised, remove the bulky-item contribution and apply the pallet rate instead.
5. Show the charge on the order confirmation and invoice; do not seek separate approval for a published standard charge.
6. Escalate only remote, oversized, multi-pallet or non-standard service requests that fall outside the published rate card.

7. Suggested freight codes

Code	Use	Charge (ex GST)
MET-STD	Metro standard under \$700	\$35
MET-FREE	Metro standard \$700+	\$0
REG1-STD	Major regional standard	\$75
REG2-STD	Other regional standard	\$120
BULKY-UNIT	Bulky non-pallet product	\$30 per item
MET-PAL	Metro pallet	\$150 per pallet
REG1-PAL	Major regional pallet	\$250 per pallet
REG2-PAL	Other regional pallet	\$350 per pallet
REMOTE	Remote delivery	Carrier rate

8. Proposed catalogue wording

ORDER MORE AND SAVE ON DELIVERY Enjoy free standard metro delivery on orders of \$700 or more, together with clear and predictable regional, bulky-item and pallet delivery rates.

Suggested wording beneath the catalogue rate table:

All delivery charges exclude GST. Free delivery applies only to eligible standard products delivered to approved metropolitan business addresses on orders of \$700 or more excluding GST. Selected bulky products attract a \$30 per-item delivery contribution regardless of total order value. Where palletisation is required, the applicable pallet rate applies instead. Dangerous-goods and remote deliveries are excluded from free standard delivery. Additional carrier charges may apply for tail-lift, residential, limited-access, redelivery, express or other non-standard services. Delivery zones are determined by the delivery postcode. Contracted customer delivery terms take precedence where separately agreed in writing.

9. Customer explanation for staff

If a customer asks why a delivery charge has been applied, staff can use this consistent explanation:

Suggested response "This is SDB's published delivery charge for your delivery zone and shipment type. We use fixed rates so customers can understand the delivery cost in advance and orders can be processed without unnecessary delays."

10. Decisions required before publication

Decision	Required action
Define zones	Approve the postcode list for Metro, Major Regional, Other Regional and Remote.
Set standard limits	Define the maximum carton size, weight and/or consignment limit for standard delivery.
Confirm bulky products	Approve the product list that attracts the \$30 bulky-item delivery contribution and mark those products in Neto.
Confirm pallet standard	Define the pallet size, weight and commercial-address conditions covered by the fixed rates.
Review contracts	Identify customers whose written freight agreements override the general policy, including Mitre 10 where applicable.
Configure system	Create freight codes and save each customer's default delivery zone in Neto.
Set commencement	Agree the customer notice period and effective date before catalogue release.

11. Team review record

Review item	Status	Notes / owner
Rates approved	Yes / No	
Postcode zones approved	Yes / No	
Standard freight limits approved	Yes / No	
Bulky product list approved	Yes / No	
Pallet conditions approved	Yes / No	
System setup owner assigned	Yes / No	
Catalogue wording approved	Yes / No	

Proposed effective date: _____

Approved by: _____ **Date:** _____